



Unlocking Revenue: How Banks Can Make Money with Stablecoins Through Strategic Partnerships

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Introduction

2025 is shaping up to be the year of stablecoins: the long-awaited regulatory clarity is finally taking shape across key markets like the US, UK, EU, and Asia. Each day brings new announcements from firms accelerating this trend. We recently showed that the adoption of stablecoins could free up hundreds of billions in trapped liquidity, lower transaction costs by up to 80%, and save the industry tens of billions of dollars annually.¹ With over US\$6.3 trillion in stablecoin payments settled globally in the last year, equivalent to 15% of global retail cross-border payments in 2024, the implication is clear: banks that move early can gain not only operational advantages but also a competitive edge in revenue generation, capital efficiency, and client acquisition.

Each day brings new announcements from firms accelerating this trend. For instance, the biggest U.S. banks—including J.P. Morgan, Bank of America, Citi, and Wells Fargo—are exploring a consortium to launch their own stablecoin. Meanwhile, Worldpay has partnered with BVNK to enable nearly instant stablecoin payouts for clients in the U.S. and Europe, allowing businesses to pay customers, contractors, and creators in stablecoins across more than 180 markets. Among many other examples.

In 2025, we believe that every institution that moves money will need a stablecoin strategy. As more players in the payments ecosystem explore this powerful new technology”.

Jack Forestell, Chief Product and Strategy Officer



Given this context, we move from the why to the how: how banks can profit from the rise of stablecoins. To build this analysis, PCMI spoke with leaders at the payments ecosystem. We break down the concrete ways stablecoins are already generating revenue—from custody and compliance services to tokenization infrastructure and FX spreads—and explore how banks can secure their share of this evolving market.

Let's dive in.

Companies interviewed:



PAXOS

kraken

VISA



Zodia Markets

By Standard Chartered & OSL

What Banks Can Learn from How Stablecoin Issuers Make Money

Stablecoins have evolved from being crypto-native tools into financial infrastructure that enables real revenue streams. Stablecoin issuers like **Tether** (issues USDT) and **Circle** (issues USDC) are not just reshaping cross-border finance—they are generating billions in the process.

Both firms are now major players in global finance, generating billions in revenue. **Tether**, the largest stablecoin issuer, reported over \$13 billion in net profit for 2024, with a market capitalization for USDT exceeding \$114 billion and group equity surpassing \$20 billion². **Circle**, which issues USDC, reached \$1.67 billion in revenue in 2024, with a market capitalization for USDC of over \$32 billion³.

Understanding how they earn revenue offers valuable lessons for banks. There are four general ways that stablecoin helps their issuers make money:



Interest on Reserves

Investing user deposits—backed by fiat or crypto—into interest-bearing assets like short-term U.S. Treasuries



Transaction Fees

Small charges applied when users mint, redeem, or transfer stablecoins across networks



Lending & Borrowing

Lending out stablecoins or accepting them as collateral, issuers earn interest from borrowers



DeFi Participation

Stablecoin issuers also tap into DeFi protocols through yield farming and staking, turning liquidity into profit

1. Interest on Reserves: Tether and Circle, which control about 89% of the stablecoin market, earn billions each year by investing the money backing their stablecoins in assets like U.S. Treasuries. While users generally earn no interest on their stablecoins, these companies keep the returns – typically 4–5%. In the first quarter of 2025 alone, Tether made over \$1 billion in operating profit, mostly from interest on its roughly \$120 billion in Treasury holdings⁴⁵⁶.

2. Transaction Fees: While individual fees are minimal, the massive volume of transactions makes them highly lucrative. In early 2025, Tether earned \$87.2 million and Circle \$31 million in just one week from these fees alone⁷.

3. Lending and Borrowing: Stablecoin issuers, either directly or via decentralized finance (DeFi) platforms like Aave, Compound, and Nexo, actively deploy reserves into credit markets to generate yield. These platforms typically offer annual returns of 5–10% on lent assets, driven by

demand for on-chain liquidity. In early 2025, Aave alone reported \$18.4 million in weekly lending revenue, highlighting the continued appetite for stablecoin-denominated credit and the profitability of this lending activity⁸.

4. DeFi Participation: By staking or providing stablecoin liquidity on platforms like Compound, Maker, and Curve, issuers earn a share of trading fees and protocol rewards. This DeFi participation can be highly lucrative—Jito on Solana generated \$41.9 million in weekly fees, while Lido Finance earned \$20.7 million—highlighting the growing appeal of staking and liquid staking as stablecoin revenue strategies.

In addition to these four general revenue streams, stablecoin issuers also generate income through partnerships and institutional services. They provide infrastructure solutions for fintechs, payment processors, and banks, offering compliance, custody, and liquidity services—creating additional revenue opportunities.

These opportunities are not exclusive to fintechs or crypto-native firms—**traditional financial institutions and banks are equally positioned to leverage stablecoin infrastructure to unlock new revenue streams and efficiencies.**

Stablecoins aren't some magical new cash cow—they're simply a sharper, faster, and more scalable way to enhance proven banking models. Banks are well-positioned to play a major role in this space: they already operate at the intersection of trust, capital, and regulation, and their clients expect them to manage money—whether in traditional dollars or digital dollars. At Kraken, we're excited to see USDG helping bridge that future".

Erick Schneider, Banking & Payments Lead for the Americas



An important takeaway for banks is that the economics of stablecoins are not exclusive to fintechs. By understanding how stablecoin issuers monetize trust, liquidity, and user flows, banks can begin to design their own stablecoin strategies. The next step is choosing how to participate in this ecosystem—and doing so in a way that aligns with internal capabilities, customer needs, and regulatory environments.

Plugging Into the Stablecoin Ecosystem: A Partnership Spectrum for Banks

Engaging with the stablecoin economy doesn't require banks to issue their own digital currency from day one. In fact, the most effective strategies start **with strategic partnerships**, allowing banks to integrate gradually—beginning with reserve custody or fiat on-ramps and eventually moving toward co-issuing their own tokens.

We introduce a four-part spectrum that helps banks gain experience while unlocking value. Understanding these partnerships will also provide a clearer view of the revenue streams we'll explore later.

1. The Anchor Role: Custody & Reserve Infrastructure. At the most foundational level, banks can serve as regulated custodians for stablecoin reserves for clients (other institutions, not end consumers⁹) holding stablecoins. This role aligns closely with traditional banking functions: asset safekeeping, settlement support, and regulatory compliance.

2. The Gateway Role: Banking-as-a-Service for Stablecoin Issuers. Banks can offer stablecoin issuers access to fiat rails, compliance tools, and payment infrastructure. This “middleware” approach doesn't require banks to issue or integrate stablecoins directly but instead monetizes their role as infrastructure providers.

3. The Embedded Role: Native Integration in Products and Channels. Banks can embed any stablecoins (not just ones they issue themselves) into their existing mobile apps, business portals, or treasury tools, allowing customers to transact, convert, or hold stablecoins directly within bank interfaces.

4. The Builder Role: Co-Issuance or White-Label Stablecoins. At the most advanced end of the spectrum, banks can co-develop or issue their own stablecoins—branded or white-label—fully backed by customer deposits.

Each model along this spectrum offers a different mix of control, complexity, and revenue potential. But they all share one trait: they enable banks to become part of the stablecoin economy without needing to go all-in on crypto. Once banks are plugged into the ecosystem—whether through custody, BaaS, embedded products, or co-issuance—they can begin to activate the revenue streams we explore in the next section.

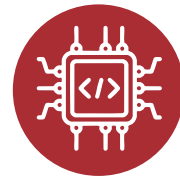
The Anchor

Custody & Reserve Infrastructure



The Embedded

Native Integration in Products and Channels



The Gateway

Banking-as-a-Service (BaaS) for Issuers



The Builder

Native Integration in Products and Channels



BNY MELLON

BNY Mellon acts as a regulated custodian for stablecoin issuers, safeguarding the reserves that back stablecoins like USDC for Circle.

 **SYGNUM**

Sygnium Bank provides stablecoin issuers with fiat payment rails, compliance tools, and 24/7 settlement infrastructure, acting as a bridge between traditional finance and the crypto world



Banking Circle, has embedded its euro stablecoin (EUR1) into its payment and treasury platforms, letting clients transact with stablecoins directly within their existing banking tools

J.P.Morgan

JPMorgan developed and issues JPM Coin, a bank-branded stablecoin used for instant settlement of payments between institutional clients

The most successful partnerships between blockchain-based firms and banks requires alignment, not just on goals, but on values like trust, transparency and innovation. When both sides bring their strengths to the table - banks with their regulatory rigor and client trust, crypto firms with their expertise, technology and agility - it creates genuine, mutually reinforcing partnerships".

Nick Philpott, Co-Founder and Head of Partnerships



By Standard Chartered & OSL

Six New Revenue Streams for Banks Using Stablecoins

Considering this partnership spectrum, we identify six distinct, widely recognized revenue streams, particularly in the cross-border space. While experts acknowledge additional monetization opportunities, these six represent the most direct and foundational models for banks entering the stablecoin economy.



1. Transaction Fees and FX Spread Capture: While fees per stablecoin transaction are lower than in traditional cross-border transfers, they still total billions, and growing, worldwide. FX conversions—such as USDC to any local currency—add an additional revenue stream through spread margins. According to the PYMNTS report¹⁰, transactions conducted via DeFi, including stablecoins, can reduce transaction costs by up to 80% compared to traditional methods. In this case, for example, banks can reduce costs for clients from 3–7% down to 0.6%–1.4%, while still earning predictable margins on each conversion¹¹.

2. Custody, Wallet and Account Services: Especially for corporate clients and SMEs transacting globally and seeking secure, regulated ways to hold and use digital dollars, banks can step in with premium stablecoin custody solutions. This doesn't need to be a crypto-native wallet—banks can offer familiar account-like interfaces while managing the blockchain infrastructure behind the scenes. These services can be tiered by volume, charging for

added features like insurance (covering risks such as theft or hacking), premium customer support, or segregated accounts, and can be bundled with treasury products. For instance, **BNP Paribas** offers digital asset custody services for institutional clients, including stablecoins, charging custody and account fees, plus additional charges for premium features or bundled treasury services¹².

3. Embedded Payments and API Monetization: By embedding stablecoins into B2B payment flows, supplier payments, employee remittances, and even B2C consumer transactions, banks can charge for API access, settlement, and integration. Banks can also extend these services to B2C transactions, such as remittances and e-commerce, charging for API access and transaction processing. For example, **Stripe** charges a 1.5% fee for stablecoin payments processed via its API¹³. **Visa** and **BBVA** are embedding stablecoins into payment rails, enabling seamless cross-border transactions and charging for API and integration services

4. Issuing and Interest from Tokenized Deposits: As regulations for tokenized deposits mature, banks can launch stablecoins backed by customer funds. These deposits can be invested in low-risk assets like government securities, generating interest income—just like current stablecoin issuers (e.g. Tether and Circle). For example, **JPMorgan's JPM Coin** processes over \$1 billion daily, earning interest on reserves¹⁴, while platforms like **Bastion** help businesses issue branded stablecoins and profit from the yield¹⁵.

5. Treasury Platforms and Liquidity Solutions: These platforms—either built in-house or white-labeled—enable cross-border payouts and DeFi integration, opening new revenue streams through SaaS subscriptions, transaction fees, and performance-based charges. For example, **Circle** is partnering with major global banks (**Standard Chartered**, **Deutsche Bank**, **Société Générale**, **Santander**) to launch the Circle Payments Network (CPN), a cross-border payment and treasury platform using regulated stablecoins¹⁶. **Bastion** offers enterprise solutions that let firms handle stablecoin flows while monetizing on/off ramps.

6. Regulatory Advisory and Compliance-as-a-Service: By offering regulatory advisory and “compliance-as-a-service” (covering KYC, AML, and cross-border rules), banks unlock new revenue from consulting fees or bundled packages with BaaS or custody services. This role becomes especially valuable as global regulations like MiCA and U.S. stablecoin bills come into force.

These six revenue streams show that stablecoins are not a one-dimensional play. They enable monetization across payments, custody, treasury, and compliance—core areas where banks already operate. By embedding stablecoins into these functions, banks can unlock sustainable, scalable revenue. And this opportunity isn't limited to global banks; it's increasingly accessible to regional and mid-sized institutions ready to evolve with the market.

Beyond issuing stablecoins themselves, banks can monetize their traditional strengths in custody, cash management, lending and infrastructure by servicing stablecoin issuers. As the stablecoin market continues to grow, banks are uniquely positioned to generate fee revenue on reserve asset custody and payment facilitation, interest income from deposits, and spread revenue on U.S. Treasury securities trading and lending. Additionally, stablecoin issuers can offer a diversified source of sticky repo funding for banks and their existing customers. Banks should view stablecoins not as a standalone product but rather a foundational layer of financial infrastructure – and position themselves as core infrastructure providers in this evolving system.”

Adam Ackermann, Head of Treasury and Portfolio Management



In short, stablecoins aren’t just a new asset class—they’re a strategic tool for any bank ready to modernize its infrastructure and reimagine its revenue stack.

From Opportunity to Action: A Strategic Roadmap for Bank Monetization

Each of the four partnership models—Anchor, Gateway, Embedded, and Builder—represents not a rigid path, but a flexible playbook for capturing value from the stablecoin economy. There is no single "correct" entry point. Conservative institutions can already activate new revenue lines through custody and compliance services. Meanwhile, more progressive banks can unlock embedded APIs, co-issuance, and tokenized deposits with interest income.

The insight is clear: banks already possess the assets needed to win: trust, scale, regulatory credibility, and deep client relationships. What’s needed is not reinvention, but alignment. With the right partnerships, banks can plug into the fast-moving stablecoin space in ways that reflect their strengths and ambition level.

A specialized advisor like PCMI can play a critical role in this process—helping banks assess where they sit on the roadmap, identify monetization levers, and find the right technology and issuance partners to execute confidently.

The table below provides a practical decision framework—mapping six key revenue streams to four strategic partnership models, while ranking them by business impact and ease of implementation¹⁷. This visual roadmap helps leaders prioritize actions, match roles to capabilities, and move from abstract interest to actionable strategy.

Stablecoin Monetization Map: Matching Models to Value and Execution

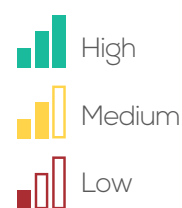
Degree of alignment between each revenue stream and the underlying partnership model

Economic Impact and Ease of Execution

Revenue Streams	Anchor (Custody)	Gateway (Infrastructure)	Embedded (Product)	Builder (Co-Issuance)	Impact	Execution
Transaction Fees & FX Spread Capture						
Custody, Wallet & Account Services						
Embedded Payments & APIs						
Issuing & Interest from Tokenized Deposits						
Treasury & Liquidity Solutions						
Regulatory Advisory and CaaS						

Note: Impact and ease levels are based on a qualitative assessment of revenue potential and implementation feasibility across stablecoin-related use cases.

- Core Fit:** directly enabled by the model
- Optional Fit:** accessible with added integrations or partnerships
- Out of Scope:** not naturally supported within the model.



As the ecosystem evolves, **partnerships will be the catalyst**, not competition. The opportunity lies not in reacting to disruption with fear, but in leveraging the core building blocks that banks already control. By defining their role and engaging the right collaborators, banks can transform stablecoins into a tangible growth engine.

A New Era of Stablecoins: Trusted, Tested, and Built for Banks

Stablecoins are no longer the domain of experimental tech firms or unregulated actors. With clear frameworks taking shape and robust, tested models already in use, they now offer a secure and strategic opportunity for banks. This is not a world to fear, but one that plays to the core strengths of traditional institutions: trust, compliance, and infrastructure.

The question is no longer *if* banks should engage, but *how*. Whether by enabling custody services, powering backend rails, or partnering to issue trusted digital currencies, stablecoins now offer real, tangible business cases. Banks are not late—they are right on time. The landscape is ready. So are the clients.





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Sources cited in this infographic report:

1 See "Regulation, Liquidity, and the Stablecoin Tipping Point of Cross-Border Payments: What Banks Must Do Next" [Access here](#).

2 See "Tether Hits \$13 Billion Profits for 2024" [Access here](#).

3 See "Stablecoin Issuer Circle Files for US IPO Despite 42% Profit Decline" [Access here](#).

4 See "Reflections on a Maturing Stablecoin Market" [Access here](#).

5 See "The State of Stablecoins in 2025" [Access here](#).

6 See "2025—the year of payments stablecoins" [Access here](#).

7 See "Tether Leads Crypto Revenue Chart With \$87M Weekly Fees" [Access here](#).

8 See "How Do Stablecoins Make Money in 2025?" [Access here](#).

9 These clients are usually stablecoin issuers (e.g., Circle, Tether), fintechs or crypto platforms needing a regulated custodian and/or asset managers holding digital assets or stablecoins on behalf of others

10 See "Cross-Border Payments Cost Could Be Cut by Blockchain, If It Can Only Solve the Scale Problem" [Access here](#).

11 Banks earn both a fixed transaction fee and a margin on FX conversions, which is more transparent and predictable than legacy FX accounts.

12 See "BNP Paribas Securities Services to develop digital assets custody capabilities through partnerships with METACO and Fireblocks" [Access here](#).

13 See "Stripe: Stablecoin payments" [Access here](#).

14 See "The State of Stablecoins in 2025" [Access here](#).

15 See "The State of Stablecoins Part 1: Market Trends, Risks, and Enterprise Adoption" [Access here](#).

16 See "Circle lines up banking partners for stablecoin-based Swift competitor" [Access here](#).

17 The ranking of revenue streams by business impact and ease of implementation is a proprietary qualitative framework developed by PCMI, based on its in-depth knowledge of the industry and extensive conversations with key market players and experts

PCMI Payments & Commerce Market Intelligence

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